HOWDEN JOINERY PROPERTIES LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 27 DECEMBER 2008

REGISTERED NUMBER: 5656171

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HOWDEN JOINERY PROPERTIES LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks to 27 December 2008.

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The Company is a wholly owned subsidiary of Galiform Plc and operates as part of the Galiform Plc's Trade division. The Company's principal activities are owning, leasing, and managing properties on behalf of Howden Joinery Limited, a fellow Group subsidiary, for which the Company receives income from Howden Joinery Limited. The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year.

As shown in the Company's profit and loss account, the Company's sales are £30,057,000 and profit after tax is £147,000. The directors are satisfied with the progress of the business and do not recommend the payment of a dividend (*2007 nil*). The balance sheet shows the Company's financial position at the end of the year, which the Directors consider to be satisfactory.

The Galiform Plc group ("the Group") manages its operations on a divisional basis. For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business. The performance of the Trade division of Galiform Plc, which includes the Company, is discussed in the Group's Annual Report which does not form part of this report.

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the Group's activities. The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report.

PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt. It therefore has no interest rate exposure. The Company has no other significant risks and uncertainties, other than those risks that it shares with the Galiform Plc Group, given that the Company's principal activities are managing properties on behalf of other Galiform Plc Group companies. The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report.

GOING CONCERN

The company's freehold property acts as security on the Group's asset backed bank facility. The security on this asset could be called upon if the Group were to breach its borrowing facility or covenants.

The Group's latest forecasts and projections have been stress-tested for reasonably possible adverse variations in trading performance and show that the Group should be able to operate within the terms of its current borrowing facility and covenants for the foreseeable future. The EBITDA covenant for Howden Joinery has a low level of headroom based on these projections. It is calculated each four week period on a three and six period rolling basis, such that short term variability in trading performance would increase the risk of non-compliance. Nevertheless, whilst there can be no absolute certainty, after due consideration of the impact of a reasonably possible further decline on the recent trading performance experienced, it is not considered that this covenant will be breached in the foreseeable future. On this basis the Directors of the Company believe that the security on the facility could not be called upon.

After making enquiries and taking into consideration the profitability and financial position of the company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future based on a written commitment of financial support from its ultimate parent company, Galiform plc, which is legally binding. The directors continue to adopt the going concern basis in preparing the financial statements.

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were:

M Ingle
C Youell
G Hughes (resigned 27 December 2008)
J McManus

SUPPLIER PAYMENT POLICY

It is the Company's policy, in relation to all its suppliers, to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with agreed terms and conditions. Payments are actually made by another group company, Howden Joinery Limited. Information regarding creditor days ratios can be found in that company's accounts.

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company did not make any charitable or political donations during the period *(2007: nil)*.

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that:

- so far as the directors are aware, there is no relevant audit information of which the Company's auditors are unaware; and
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985.

On 1 December 2008 Deloitte & Touche LLP changed its name to Deloitte LLP. ursuant to a shareholders' resolution, the Company is not obliged to re-appoint its auditors annually and Deloitte LLP will therefore continue in office.

REGISTERED OFFICE

The company's registered office is International House, 66 Chiltern Street, London, W1U 4JT.

HOWDEN JOINERY PROPERTIES LIMITED
DIRECTORS' REPORT (cont'd)

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the company and to enable them to ensure that the financial statements comply with The Companies Act 1985. They are also responsible for the system of internal control, safeguarding the assets of the Company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities.

By Order of the Board

C Bishop
Secretary
27 April 2009

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF HOWDEN JOINERY PROPERTIES LIMITED

We have audited the financial statements of Howden Joinery Properties Limited for the 52 week period ended 27 December 2008 which comprise the Profit and Loss Account, the Balance Sheet and the related notes 1 to 15. These financial statements have been prepared under the accounting policies set out therein.

This report is made solely to the Company's members, as a body, in accordance with section 235 of the Companies Act 1985. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities.

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland).

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985. We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements.

In addition we report to you if, in our opinion, the Company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed.

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it.

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the Company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

Opinion

In our opinion:

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the Company's affairs as at 27 December 2008 and of its profit for the 52 week period then ended;
- the financial statements have been properly prepared in accordance with the Companies Act 1985; and
- the information given in the Directors' Report is consistent with the financial statements.

Deloitte LLP

Deloitte LLP
Chartered Accountants and Registered Auditors
London, United Kingdom

27 April 2009

HOWDEN JOINERY PROPERTIES LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 27 DECEMBER 2008

	NOTES	**52 weeks to 27 Dec 2008 £000**	52 weeks to 29 Dec 2007 £000
Rental income	1	**30,057**	26,968
Cost of sales		**(28,535)**	(25,097)
Gross profit		**1,522**	1,871
Administrative expenses		**(1,069)**	(763)
Operating profit		**453**	1,108
Profit on disposal of properties		**-**	1
Profit on ordinary activities before finance charges and taxation		**453**	1,109
Finance charges	5	**(17)**	(4)
Profit on ordinary activities before taxation	2	**436**	1,105
Tax on profit on ordinary activities	6	**(289)**	(520)
Profit for the financial period	12	**147**	585

The results for the current and prior periods derive from continuing operations.

There are no recognised gains or losses in the current financial period other than those included in the profit and loss account and therefore no statement of recognised gains and losses has been presented.

HOWDEN JOINERY PROPERTIES LIMITED
BALANCE SHEET AT 27 DECEMBER 2008

	NOTES	27 December 2008 £000	27 December 2008 £000	29 December 2007 £000	29 December 2007 £000
Fixed assets					
Tangible assets	7		**10,212**		9,430
Current assets					
Debtors	8	**7,468**		7,151	
Current liabilities					
Creditors: amounts falling due within one year	9	**(16,526)**		(15,559)	
Net current liabilities			**(9,058)**		(8,408)
Total assets less current liabilities			**1,154**		1,022
Provisions for liabilities	10		**(331)**		(346)
Net assets			**823**		676
Capital and reserves					
Called up share capital	12		-		-
Profit and loss account	12		**823**		676
Shareholders' funds			**823**		676

Approved by the Board of Directors on 27 April 2009 and signed on their behalf by

C Youell
Director

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and prior period.

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards. The financial statements have also been prepared on the going concern basis as discussed in the Directors' Report on page 1.

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc.

The financial statements include the undertakings for the 52 week period ended 27 December 2008, being the Saturday nearest to the Company's accounting reference date of 31 December. The comparative period covers the 52 weeks ended 29 December 2007.

RENTAL INCOME

Rental income comprises of income received from a licence permitting Howden Joinery Ltd to occupy properties within the ownership or leasehold of Howden Joinery Properties Ltd; and in respect of one property, the rent received under an operating lease between Howden Joinery Ltd and Howden Joinery Properties Ltd. It also includes management charges received for managing the rentals.

FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation and net of any provision for impairment. Depreciation is charged on freehold properties (excluding land values and payments on account, and assets in the course of construction) and long leaseholds at the rate required to write off the cost or valuation of the assets over their estimated useful life of 50 to 66 years. Short leaseholds are depreciated over the life of each individual lease.

In addition, accelerated depreciation is provided on those properties in which trading has ceased during the period in order to reduce the value of the relevant properties to the estimated recoverable amount.

TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered using tax rules and laws that have been enacted or substantially enacted by the balance sheet date.

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date.

Except where otherwise required by accounting standards no timing differences are recognised in respect of:

(a) property revaluation surpluses where there is no commitment to sell the asset; and
(b) gains on sale of assets where those assets have been rolled over into replacement assets.

LEASED ASSETS

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease.

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

Profit on ordinary activities before taxation is stated after charging / (crediting):

	52 weeks to 27 Dec 2008 £000	54 weeks to 29 Dec 2007 £000
Depreciation - owned assets	772	565
Rentals paid on property operating leases	27,489	24,230
Profit on disposal of short leasehold properties	-	(1)
Fees payable to the company's auditors for the audit of the company's annual accounts	10	10
Fees payable to the company's auditors for tax services	10	10

3. STAFF NUMBERS AND COSTS (excluding directors)

The Company had no employees, and staff costs amounted to £nil (*2007: £nil*).

4. REMUNERATION OF DIRECTORS

No director received any emoluments from this Company during the period (*2007: none*).

5. FINANCE CHARGES

Other finance charges:	52 weeks to 27 Dec 2008 £000	54 weeks to 29 Dec 2007 £000
Interest paid on rent reviews	17	4
	17	4

6. TAXATION

	52 weeks to 27 Dec 2008 £000	54 weeks to 29 Dec 2007 £000
Current tax charge for the period	245	493
Adjustment in respect of prior years	(67)	-
Deferred taxation (note 11) - current year	33	(21)
- adjustments in respect of prior year	79	48
Tax charge on profit on ordinary activities	289	520

Factors affecting current period corporation tax

	52 weeks to 27 Dec 2008	54 weeks to 29 Dec 2007
The taxation charge, as a percentage of profit on operating activities before taxation, is calculated at	66.3%	47.0%

There is no unprovided deferred tax.

6. TAXATION (Cont'd)

The current corporation tax charge for the period is higher than the standard rate of corporation tax of 28.5% for the following reasons:

	52 weeks to 27 Dec 2008 £000	54 weeks to 29 Dec 2007 £000
Profit on ordinary activities before taxation for the period	**436**	1,105
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 28.5% *(2007:30%)*	**124**	332
Effects of:		
Depreciation in excess of capital allowances	**121**	161
Movement on short term timings	-	-
Profit on disposal of non-qualifying fixed assets	-	-
Current tax charge for the period	**245**	493

7. TANGIBLE FIXED ASSETS

	Land & Freehold Properties £000	Leasehold properties: Over 50 Years £000	Leasehold properties: Under 50 Years £000	Assets Under Construction £000	Total £000
Cost or valuation					
At 29 December 2007	926	83	9,841	4	10,854
Additions	-	-	1,553		1,553
Disposals	-	-	(37)	-	(37)
Transfers between asset categories	-	-	4	(4)	-
At 27 December 2008	**926**	**83**	**11,361**	**-**	**12,370**
Depreciation					
At 29 December 2007	(139)	(3)	(1,282)	-	(1,424)
Charge for the year	(9)	(2)	(761)	-	(772)
Disposals	-	-	37	-	37
At 27 December 2008	**(148)**	**(5)**	**(2,006)**	**-**	**(2,159)**
Net book value					
At 29 December 2007	787	80	8,559	4	9,430
At 27 December 2008	**778**	**78**	**9,355**	**-**	**10,211**

Land & Freehold properties at cost includes land of £514,000 (*2007:£514,000*) on which depreciation is not provided.

8. DEBTORS

Amounts falling due within one year:	27 Dec 2008 £000	29 Dec 2007 £000
Trade debtors	**140**	48
Amounts owed by parent and fellow subsidiary undertakings	**-**	-
Prepayments and accrued income	**6,027**	5,547
VAT	**1,300**	1,556
	7,467	7,151

9. CREDITORS

Amounts falling due within one year:	27 Dec 2008 £000	29 Dec 2007 £000
Trade creditors	**133**	47
Amounts owed to parent and fellow subsidiary undertakings	**12,750**	12,199
Corporation tax	**177**	741
Accruals and deferred income	**3,466**	2,572
	16,526	15,559

10. PROVISIONS FOR LIABILITIES

Movements during the period were as follows:

	Deferred Taxation £000	Property provision £000	Total £000
At 29 December 2007	133	213	346
Provided	115	-	115
Released	-	(12)	
Utilised	(3)	(115)	(130)
At 27 December 2008	**245**	**86**	**331**

11. DEFERRED TAXATION

An analysis of the deferred tax liability provided in the accounts is as follows:

	27 Dec 2008 £000	29 Dec 2007 £000
Accelerated capital allowances	**269**	193
Other timing differences	**(24)**	(60)
	245	133

There is no unprovided deferred tax

12. SHARE CAPITAL & RESERVES

i) Authorised and issued share capital

	27 Dec 2008 £	29 Dec 2007 £
100 authorised ordinary shares of £1 each	**100**	100
1 allotted, called up issued and fully paid ordinary share of £1	**1**	1

12. SHARE CAPITAL & RESERVES (cont'd)

ii) Movements in share capital and reserves

Movements in share capital and reserves during the period were as follows:

	Share Capital Account £000	Profit and loss Account £000	Shareholders' Funds £000
At 29 December 2007	-	676	676
Profit for the period	-	147	147
At 27 December 2008	-	**823**	**823**

13. FINANCIAL COMMITMENTS

At 27 December 2008 the annual commitments under non-cancellable operating leases for land and buildings were as set out below:

	27 Dec 2008 £000	29 Dec 2007 £000
Operating leases which expire:		
Within one year	**638**	756
Between two and five years	**4,833**	4,886
After five years	**20,449**	19,287
	25,920	24,929

There were no such commitments for other assets.

14. CONTINGENT LIABILITIES

Members of the Group have assigned UK property leases in the normal course of business. Should the assignees fail to fulfil any obligations in respect of these leases, members of the Group will be liable for those defaults. The number of claims arising to date has been small and the cost, which is charged to income as it arises, has not been material.

There is a Group VAT registration cross-guarantee under which if one Group company fails to pay its VAT then the other Group companies are jointly and severally liable. The amount outstanding on this guarantee at the period end is £10.7m (2007: £11.3m).

The Company, together with other Group companies, has guaranteed the Group's obligations under the Group bank facility.

15. ULTIMATE PARENT COMPANY AND RELATED PARTY DISCLOSURES

The Company's immediate parent company is Howden Joinery Limited and the ultimate parent company and controlling entity is Galiform Plc, formerly MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales.

The largest and smallest Group in which the results of the Company are consolidated is that headed by Galiform Plc. The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ.

The Company is exempt under FRS 8 from the requirement to disclose transactions within the Group headed by Galiform Plc on the grounds that it is a wholly owned subsidiary.